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China Renewable Energy

Good to See Tightened Energy Standards for Polysilicon, but Immaterial Impact on Current Supply

CITI'S TAKE

On July 21, the full text of the mandatory national standard “Energy Consumption Quota per Unit Product for Polysilicon and Germanium (GB 29447-2026)” was officially released. Compared to the draft version, the final version tightens the Tier 3 energy consumption caps for polysilicon, including from 6.4kgce/kg to 6.3kgce/kg for rod silicon. We think that the policy could help to accelerate the permanent exit of backward, high-cost polysilicon capacities which have probably been idle, but it should have immaterial impact on current effective supply, as average capacity utilization is only 30-40% and mainly from tier-1 suppliers. Based on our due diligence, the top 4 PRC polysilicon suppliers have a total nameplate capacity of 1,910k tons that can meet the Tier 3 standard. In PRC solar and ESS sector, we prefer Sungrow and Deye, benefiting from strong global energy storage demand growth.

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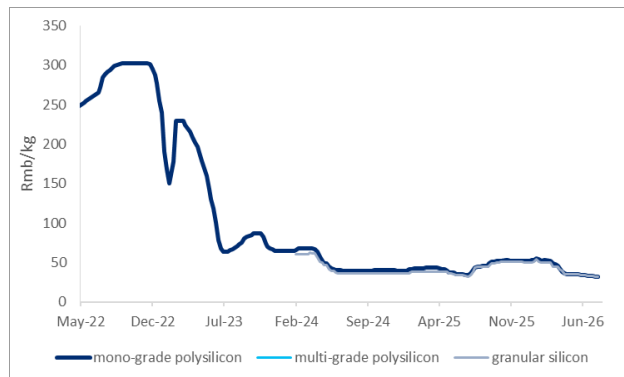
What's new - In the official version of the “Energy Consumption Quota per Unit Product for Polysilicon and Germanium (GB 29447-2026)” 《硅多晶和锗单位产品能源消耗限额》 released on 21 July, the Tier 3 energy consumption caps for polysilicon were tightened from 6.4kgce/kg to 6.3kgce/kg for rod silicon and from 5.0kgce/kg to 4.6kgce/kg for granular silicon, while the caps for Tier 1 and 2 standards are unchanged. The standard stipulates that existing production capacities must comply with Tier 3 caps, while newly-built or expanded/renovated capacities shall meet Tier 2 requirements. The policy will take effect on 1 January 2027. According to CPIA, the average total unit energy consumption for rod-type polysilicon was 6.8kgce/kg-Si in 2025, and it is expected to reduce to around 6.5kgce/kg in 2026E. The new standards could help to stop certain polysilicon capacity with below-average energy efficiency, in our view.

Immaterial impact on near-term supply - PRC polysilicon sector is running at average capacity utilization of 30-40%. Phasing out idle low-efficiency nominal capacities has insignificant marginal impact on actual market supply. The monthly polysilicon output is expected to be 100k tons in July, versus monthly demand of 91k tons, according to China Silicon Industry Association. Based on our due diligence, the top 4 PRC polysilicon suppliers, namely Tongwei, GCL, Daqo and Xinte Energy/TBEA have a total nameplate capacity of 1,910k tons that can meet the Tier 3 standard, more than enough meeting the current market demand.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

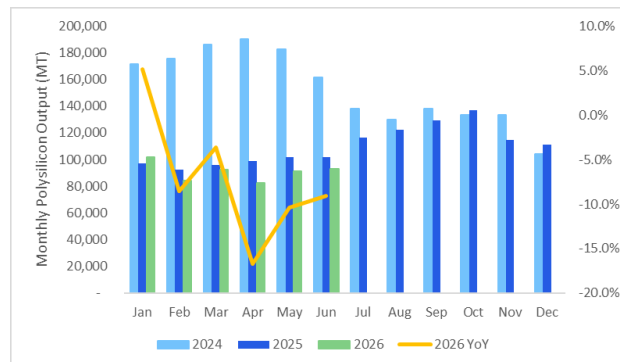
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Figure 1. PRC weekly polysilicon price



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Source: SMM, Citi Research

Figure 2. Monthly polysilicon output in China



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Source: China Silicon Industry Association, Citi Research

Companies Mentioned:

Daqo New Energy (DQ.N; US\$11.86; 1H; 21 Jul 26; 16:00)
GCL Technology (3800.HK; HK\$0.59; 1H; 21 Jul 26; 16:10)
Ningbo Deye Technology (605117.SS; Rmb81.27; 1; 21 Jul 26; 15:00)
Sungrow Power Supply (300274.SZ; Rmb104.08; 1; 21 Jul 26; 15:00)
TBEA Co (600089.SS; Rmb19.5; 1; 21 Jul 26; 15:00)
Tongwei (600438.SS; Rmb10.72; 1; 21 Jul 26; 15:00)

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